

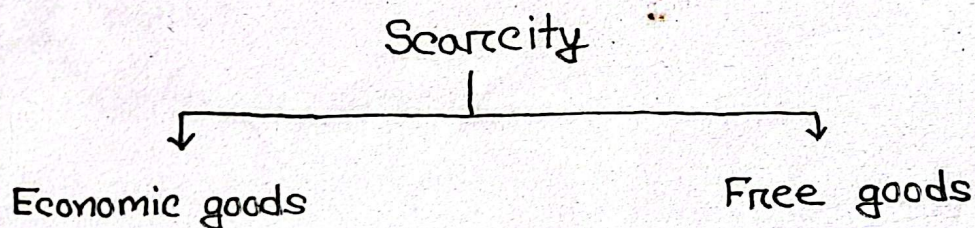
Economics: Economics is the study of how societies use scarce resources to produce valuable commodities and distribute them among different people.

Two basic terms of Economics:-

- * Scarcity

- * Efficiency

Scarcity: A situation of scarcity is one in which goods are limited relative to desires.



Economic Goods: Economic goods are scarce and limited in supply.

Free Goods: Free goods like sand in desert, seawater in beach, exist in such a large quantity. Thus their market price

Efficiency: Efficiency denotes the most effective use of a society's resources in satisfying people's wants and needs.

In economics, we say that an economy is producing efficiently when it cannot make anyone economically better off without making someone else worse off.

* The basic nature of economics is to acknowledge the reality of scarcity and then figure out how to organize society in a way which produces the most efficient use of resources. This is where economics makes its unique contribution *

* Two main branches of Economics :

1. Microeconomics

2. Macroeconomics

☐ Microeconomics : Microeconomics is the branch of economics which today is concerned with the behaviour of individual entities such as market, firms, and household economics in the study of how individual households and firms make decision and how they interact with another in market.

* Adam Smith (16th June, 1723-17th July, 1790) is usually considered the founder of the field of microeconomics.

▣ Macroeconomics: Macroeconomics is concerned with the overall performance of the economy. Macroeconomics is the study of the economy as a whole with respect to output, price level, employment and other aggregate variables.

* John Maynard Keynes (5th June - 1883 - 21 April, 1946) is usually considered the founder of the field of Macroeconomics.

The logic of Economics

Common fallacies in economic reasoning:

1. The post hoc fallacy: The post hoc fallacy occurs when we assume that because one event occurs before another event, the first event caused the second event.
2. "Ceteris paribus" means "all other things constant" or "nothing else changes"

3. The fallacy of composition: when we assume that what is true for the part is also true for the whole, we are committing the fallacy of composition.

☐ Positive Economics: Positive economics deals with question as why, what is, etc. although these are difficult question to answer, they can all resolve by reference to analysis and empirical evidence that puts them in the realm of positive economics.

☐ Normative Economics: Normative Economics involve ethical precepts and norms of fairness. There is no right or wrong answers to the question because they involve ethics and values rather than facts. They can be resolved only by political debate and decision, not by economic analysis alone.

Inputs: Inputs are commodities and services that are used to produce goods and services. An economy uses its existing technology to combine inputs to produce outputs.

Outputs: Outputs are the various useful goods or services that result from the production process and either consumed or employed in further production.

Factors of Production: Factors of production, resources, or inputs are what is used for production process to produce outputs that is finished good and services.

Land: All natural resources, such as minerals, forest, water and unimproved land.

Labor: The physical and mental talents people contribute to the production process.

Capital: Produced goods that can be used as inputs for further production such as factories, machinery, tools, computers and buildings.

Entrepreneurship: The talent that some people have for organizing the resources of land, labour and capital to produce goods, seek new business opportunities and develop new ways of doing thing.

Opportunity cost: The most highly valued opportunity or alternative forfeited when a choice is made.

Good: Anything from which individuals receive utility or satisfaction.

Bad: Anything from which individuals receive disutility or dissatisfaction.

Utility: The satisfaction one receives from a good.

Disutility: The dissatisfaction one receives from a bad.

▣ The three problems of Economic organization / Three fundamental economic problems.

1. What commodities are produced and in what quantities?
2. How are goods produced?
3. For whom are goods produced?

Classification of Economics / Economic system:

1. Market Economy: A market economy is one in which individuals and private firms make the major decisions about production and consumption. The extreme case of a market Economy, in which the government keeps its hands off is called a * Laissez-faire economy.
* Invisible hand

2. Command economy: A command economy is one in which the government makes all important decisions about production and distribution.

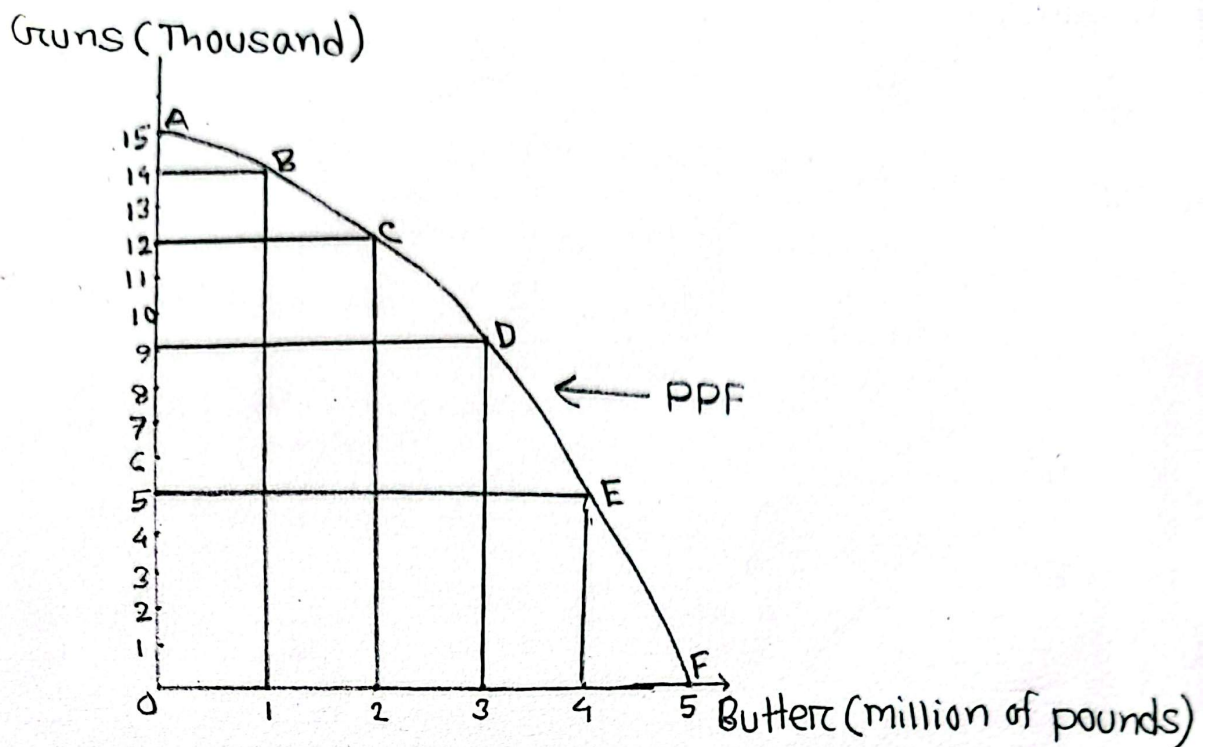
3. Mixed economy: A mixed economy is a combination of market & command economy.

The production possibility frontier (PPF): The production possibility frontier shows the maximum amounts of production that can be obtained by an economy given its technological knowledge and quantity of inputs available. The production possibility frontier represents the menu of goods and services available to society.

Table. 1: Alternative production possibilities:

Possibilities	Butter (Millions of Pounds)	Guns (Thousand)
A	0	15
B	1	14
C	2	12
D	3	9
E	4	5
F	5	0

Figure 1: Alternative production possibility.



we know that resources are limited. If we want to produce any output in high amount we can't produce other outputs. The graph shows us that if we want to produce two things such as butter and guns at the same time we have to follow production possibility frontier. From the graph, we can see that when any economy uses all of his resources to produce guns it cannot produce any butter. If we assumed that, the economy can produce 1500 Guns at a time if it doesn't produce any butter. If we like to produce 1 million of pounds of butter it has to decrease the production of guns 15000 to 14000.

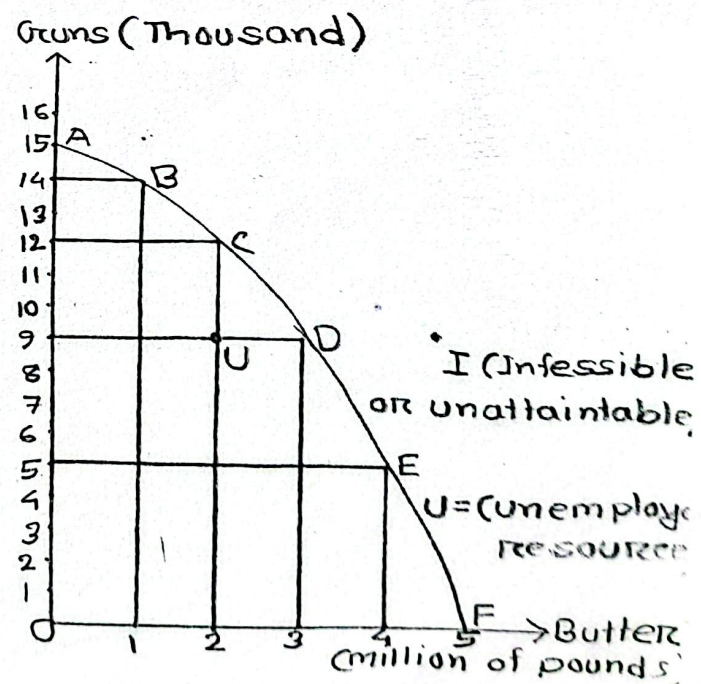
Points A-B shows the reality. If it wants to produce 2 million pounds of butter it has to decrease the

production of guns 14000 to 12000 and points B-C shows us the reality. In this way, if it increases the production of butter it has to decrease the production of guns. Point C, D, E, F shows us the matter. If wants the highest amount of butter (5 million pounds) it can produce no guns. Points F indicate that.

PPF can be used to illustrate 7 economic concepts

1. Scarcity.
2. Choice
3. Opportunity cost
4. Productive Efficiency
5. Productive Inefficiency.
6. Unemployed Resources
7. Economic Growth.

Exhibit: 1:



Scarcity: Scarcity is the situation in which goods are limited relative to desires. Scarcity is illustrated by the frontier itself. Implicit in the concept of scarcity is the idea that we can have some things but not at all things. The PPF separates an attainable region from an unattainable region.

Choice: Choice is represented by our having to decide among the many attainable ^{combination} of the two goods. In exhibit 1, we will choose the combination of goods represented by point A or point B or C or D or E or F. We can choose any points of them according to our demand.

Opportunity cost: The most highly valued opportunity or alternative forfeited when a choice is made. Opportunity cost is illustrated as we move from one point to another on the PPF in exhibit 1. Suppose we are at point A and choose to move to point B. At A, we have 15000 Guns and 0 million of pounds of butter. At point B, we have 14000 Guns and 1 million of pounds of Butter. Because 1 million of pounds of butter come at a cost of 1 thousand ~~television set~~ Guns. The opportunity cost of 1 million of pounds of butter is 1000 guns.

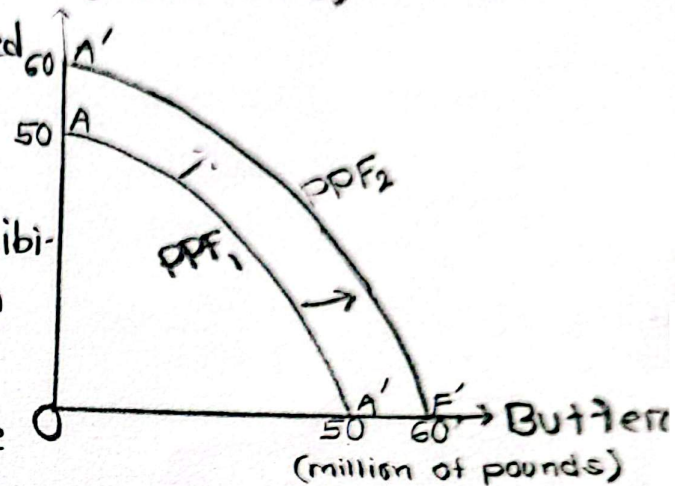
Productive Efficiency: The condition where the maximum output is produced with the given resources and technology is called productive efficiency. In Exhibit 1, points A, B, C, D, E & F are productive efficient points. Notice that all these points lie on production possibility frontiers.

Productive Inefficiency: The condition where less than the maximum output is produced with the given resources and technology. Production inefficiency implies that more of one good can be produced without any less of another being produced. In Exhibit 1, if we produce below the PPF that implies productive inefficiency. In exhibit 1, point U is the productive inefficient point.

Unemployed Resources: When the economy exhibits productive inefficiency, it is not producing the maximum output with the available resources and technology. One reason may be that the economy is not using all its resources; that is some of its resources are unemployed, as at point U in exhibit 1.

Economic Growth', Economic Guns (Thousand)

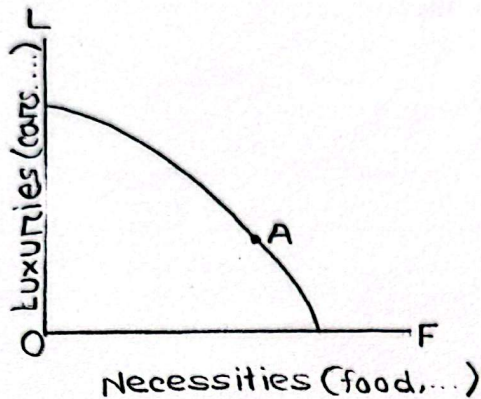
Growth refers to the increased productive capabilities of an economy ~~is~~ is shown by a shift in the production possibility frontier. An increase in resources or an advance in technology ^{can} increase the production capabilities of an economy



leading to economic growth and a shift outward in the PPF. ~~In the advance in technology leads to the greater production of only one from PPF₁ to PPF₂.~~

Applying the PPF to society's Choices:

(a) Poor nation



(b) High-Income nation

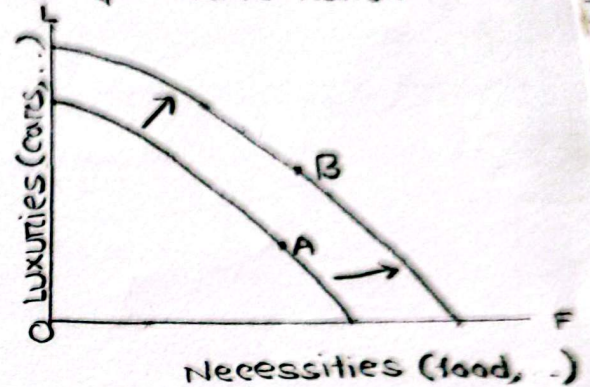
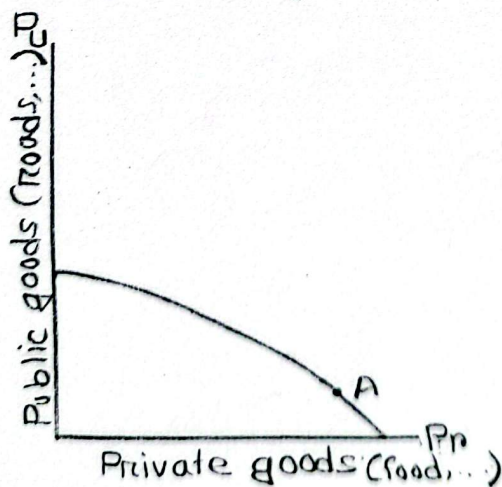


Figure : Economic Growth shifts the PPF outward

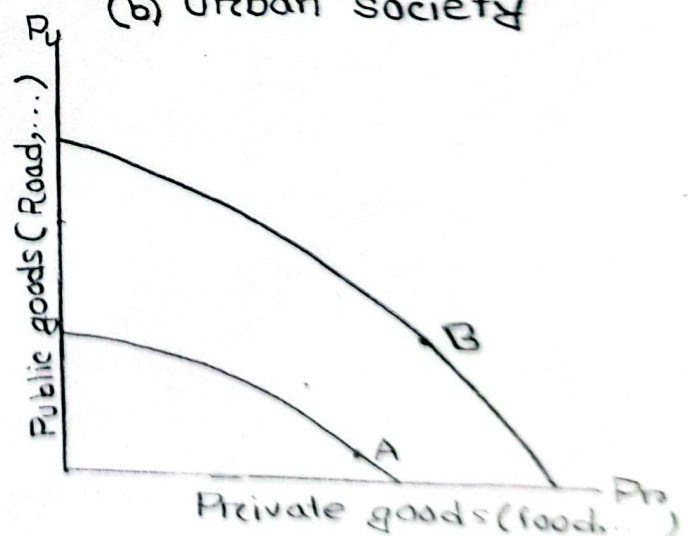
(a) Before development, the nation is poor. It must devote almost all its resources to food and enjoys few comforts.

(b) Growth of inputs and technological shift out the PPF. With economic growth a nation moves from A to B, expanding its food consumption little compared with its increased consumption of luxuries. It can increase its consumption of both goods if it desires.

(a) Frontier Society

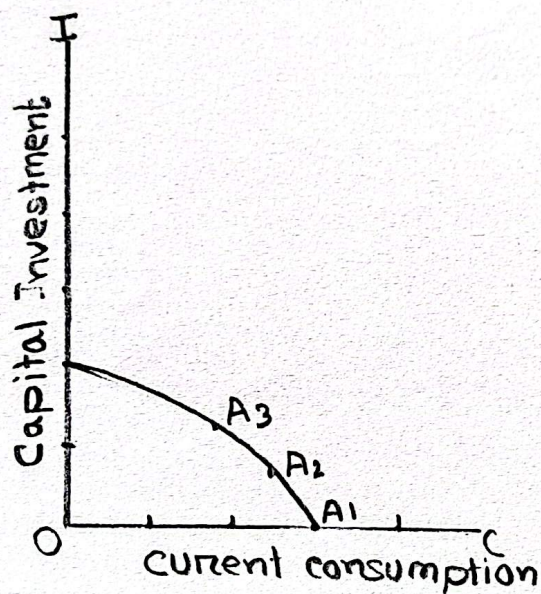


(b) Urban society

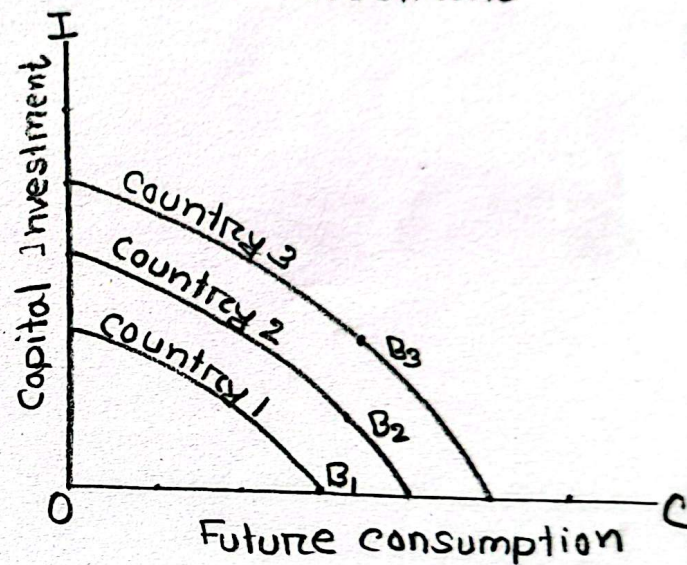


(a) A poor frontier society lives from hand to mouth, which little left over for public goods like clean air or public health. (b) A modern urbanized economy is more prosperous and chooses to spend more of its higher income on public goods and government services (roads, education, and environmental protection).

(a) Before Investment



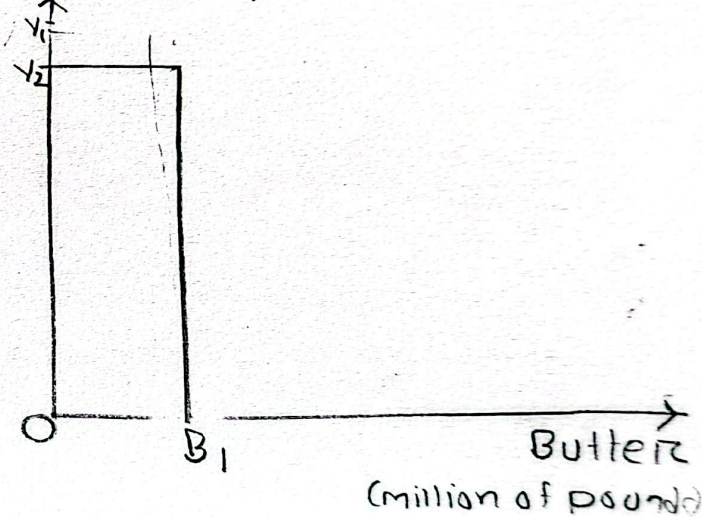
(b) After Investment



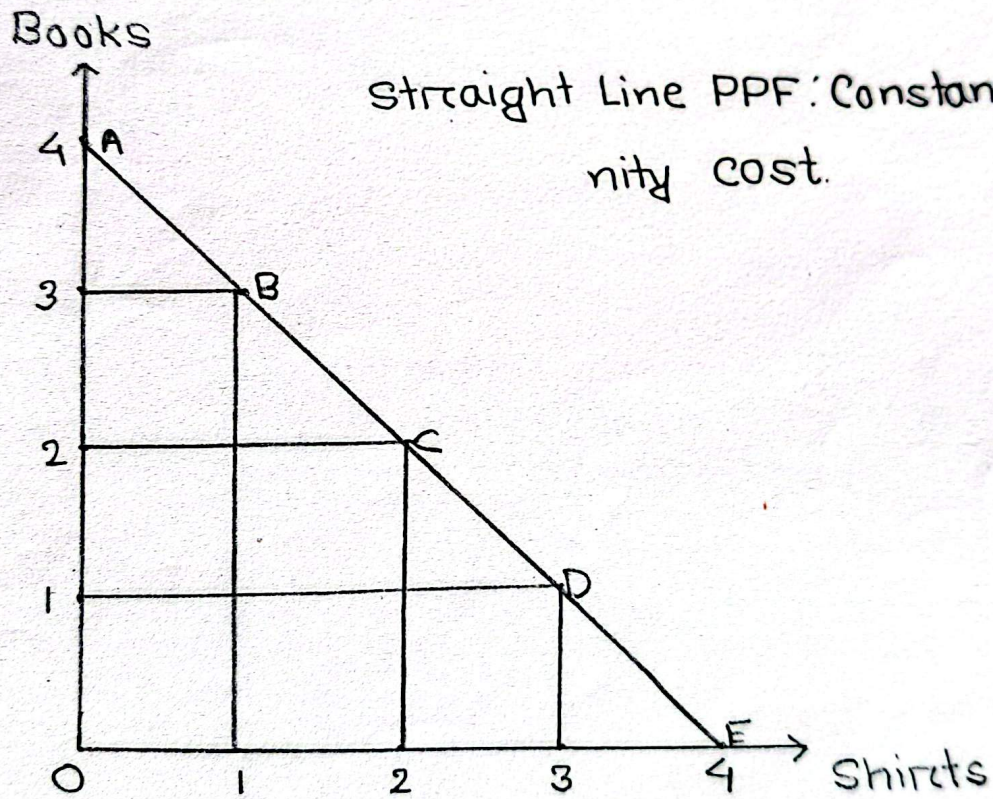
A nation can produce either current consumption goods or investment goods. (a) Three countries start out even. They have the same PPF, shown in the panel on the left, but they have different investment rates. Country 1 doesn't invest for the future and

The marginal rates of Transformation: The marginal rates of Transformation (MRP) can be defined as how many units of good x have to stop being produced in order to produce an extra unit of good y, while keeping constant the use of production factors and the technology being used. The slope of production possibility frontier called the marginal rates of transformation.

Guns (Thousand)



Combination	Books	Shirts	Points	OC
A	4	0	A	1
B	3	1	B	1
C	2	2	C	1
D	1	3	D	1
E	0	4	E	1



The bowed outward (concave downward PPF) :

Increasing opportunity cost law of IOC $\rightarrow$ As more of a good is produced, the opportunity cost of producing that good increase

Combination	cell-Phones	coffee-makers	OC	points
A	10	0	0	A
B	9	1	1	B
C	7	2	2	C
D	4	3	3	D
E	0	4	4	E

